

EAAGADS LIMITED

ANNOUNCEMENT OF AUDITED RESULTS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2021

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME			
	31 March 2021		31 March 2020
	Kshs'000		Kshs'000
Revenue	139,662		48,622
Fair value gain/(loss) on biological assets	4,121		(9,637)
Cost of production	(85,479)		(73,996)
Gross profit/(loss)	58,304		(35,011)
Net operating costs	(53,644)		(42,077)
Profit/(loss) before taxation	4,660		(77,088)
Tax (charge)/credit	(2,910)		10,383
Profit/(loss) for the year	1,750		(66,705)
Revaluation surplus, net of tax	176,080		51,645
Total comprehensive income/ (loss) for the year	177,830		(15,060)
Basic and diluted earnings per share (KShs)	0.05		(2.07)

STATEMENT OF FINANCIAL POSITION			
	31 March 2021		31 March 2020
	Kshs'000		Kshs'000
EQUITY			
Share capital	40,196		40,196
Revaluation reserve	857,585		689,115
Retained earnings	111,907		102,547
	1,009,688		831,858
Non-current liabilities	86,519		66,893
Current liabilities	20,286		49,830
Total equity and liabilities	1,116,493		948,581
REPRESENTED BY:-			
Non-current assets	1,003,295		838,253
Current assets	113,198		110,328
Total assets	1,116,493		948,581

STATEMENT OF CHANGES IN EQUITY	Share capital	Revaluation surplus	Retained earnings	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At 1 April 2020	40,196	689,115	102,547	831,858
Profit for the year	-	-	1,750	1,750
Revaluation surplus, net of tax	-	176,080	-	176,080
Transfer of excess depreciation	-	(7,610)	7,610	-
At 31 March 2021	40,196	857,585	111,907	1,009,688

STATEMENT OF CASH FLOWS	31 March 2021	31 March 2020
	Kshs'000	Kshs'000
Net cash generated from/(used in) operating activities	36,597	(56,873)
Net cash (used in)/generated from financing activities	(37,622)	30,621
Net decrease in cash and cash equivalents	(1,025)	(26,252)
Cash and cash equivalents at the beginning of the year	3,849	29,845
Effect of exchange rate changes on cash and cash equivalents	(1,568)	256
Cash and cash equivalents at the end of the year	1,256	3,849

RESULTS SUMMARY

The above are extracts of the audited financial statements of Eaagads Limited that were approved by the Board of Directors on 27 July 2021. These accounts were audited by Ernst & Young LLP, Certified Public Accountants and received an unqualified audit opinion.

PERFORMANCE

In the year under review, the company produced 233 tonnes of coffee compared with 114 tonnes produced last year. The increase was mainly attributed to the favourable weather experienced in the year which led to flower formation of the late crop for 2020 and improved coffee prices. Due to the improved yield, the company achieved sales of 233 tonnes of coffee compared with 127 tonnes in March 2020. The average price realized during the year 2021 increased to USD 5.52 per kilogram from USD 3.75 per kilogram in the previous year.

The Company reported a profit before tax of KShs 4.7 million compared to loss before tax of KShs 77 million in the previous financial year. Revenue was KShs 139.7 million in the year compared to 48.6 million in 2020. The cost of production is directly correlated with production levels. Coffee upkeep costs, picking costs and wet processing costs increased by KShs 11.5 million in the year. Crop commission charges also increased by KShs 2.5 million in line with increased sales. Farm management fees remained at USD 7.5 per hectare.

The Company also revalued its freehold land (44 hectares), plant and machinery and this resulted in a revaluation gain of KShs 176 million, net of tax. The remaining land is held on a leasehold basis and measures 341 hectares and is not subjected to valuation, in compliance with the International Financial Reporting Standards.

OUTLOOK

Coffee is especially sensitive to extreme weather conditions. Off seasonal rains in January and February this year coupled with huge temperatures variations created conditions that slowed down the coffee stressing process thus flowering. On the other hand, this rainfall was good for the early crop whose quality was enhanced positively. The initial expectation for 2021-22 crop was pegged at 235 tons but due to this factor, we are expecting a significantly lower harvest, currently estimated at 214 tons. International coffee market prices have greatly improved due to increased demand attributable to the success vaccination across the globe which has resulted in easement of Covid pandemic restrictions. According to ICO, globally 2020-21 production is forecasted at 169.5 million bags and a demand of 167.2 million bags. Production for 2021-22 is expected to be lower than demand mainly due to low production expectation in Brazil. Looking forward, the prices are likely to remain attractive in 2021-22 coffee year as the world looks at depressed production. Eaagads coffee continues to attract a premium in the market due to its quality, although it is still impacted by the International coffee prices. The farm is under the management of CMS.

DIVIDEND

The Board of Directors do not recommend payment of a dividend for the year ended 31 March 2021 (31 March 2020: Nil).

2021 ANNUAL GENERAL MEETING

Shareholders are requested to take note that the 2021 annual general meeting will be held virtually on Tuesday, 28th September 2021. The Notice and Agenda of the meeting and the accompanying documents will be communicated to the shareholders within the statutory timelines.

By the Order of the Board
Company Secretary
27 July 2021